Schedule CGDL-CRS Sheet 1

CUSTOMER GENERATION DEPARTING LOAD COST RESPONSIBILITY SURCHARGE

APPLICABILITY

Applicable to the Customer Generation Departing Load (CGDL) that departed after February 1, 2001 and is served by Customer Generation (CG) of Bundled Service and Direct Access Service customers pursuant to California Public Utilities Commission (Commission) Decision (D.) 03-04-030. In addition, this schedule is applicable to the CGDL load of CCA Service Customers. CGDL is defined in Preliminary Statement Part W.1.c. and in the Special Conditions of this Schedule. Pursuant to Commission Decision (D.) 05-06-041, this Schedule and the mechanisms in D.03-04-030 for imposing and excepting Cost Responsibility Surcharges (CRS) are also applicable to county and municipal water districts that self generate electricity both on site and off site. (T)

On September 20, 2018, Senate Bill (SB) 237 was signed into law. SB 237 renews the general suspension of DA, with certain exceptions. To implement SB 237, the Commission issued D.19-05-043 on June 3, 2019, which provides for a limited increase of DA load. D.19-05-043 establishes the eligibility, operational, and switching schedule for the limited increase of DA load. (C) | | (C)

Load delivered over distribution facilities to customers taking service under Schedule SPSS and allocated as either On-Site or Remote Self-Supply load pursuant to Schedule SPSS shall be subject to the charges contained in this Schedule, as applicable.

DA Customers retain responsibility for certain charges pursuant to Schedule DA-CRS.

Customer Generation Departing Load (CGDL): Effective after February 1, 2001, CGDL is DL that is served by Customer Generation, and is that portion of the SCE customer's electrical load for which the customer (1) discontinues or reduces its purchase of Bundled Service, CCA Service, or Direct Access service from SCE; (2) purchases or consumes electricity supplied and delivered by Customer Generation to replace SCE, Direct Access or CCA Service purchases; and (3) remains physically located at the same location or elsewhere within SCE's service territory as it existed on April 3, 2003. A load reduction qualifies as Departing Load when such load is subsequently served by a source other than SCE.

This definition of CGDL does not apply to:

1. A new customer that, after January 1, 1998, locates new load in SCE's service territory, provided such customer does not purchase electricity from SCE and does not use SCE's transmission or distribution system (either directly or indirectly through a third party) in any manner to supply electricity to its load.

2. Changes in the distribution of load among accounts at a customer site with multiple accounts or load changes resulting from the reconfiguration of distribution facilities on the customer site provided that the changes do not result in a discontinuance or reduction of service from SCE at that location.

3. This definition also does not apply to DL that physically disconnects from SCE's grid.

(Continued)

Schedule CGDL-CRS Sheet 2
CUSTOMER GENERATION DEPARTING LOAD COST RESPONSIBILITY SURCHARGE

APPLICABILITY (Continued)

4. Changes in usage occurring in the normal course of business resulting from changes in business cycles, termination of operations, departure from SCE's service territory, weather, reduced production, modifications to production equipment or operations, changes in production or manufacturing processes, fuel switching, enhancement or increased efficiency of equipment or performance of existing Customer Generation equipment, replacement of existing Customer Generation equipment with new power generation equipment of similar size, installation of demand-side management equipment or facilities, energy conservation efforts, or other similar factors.

5. Load temporarily taking service from a back-up generation unit during emergency conditions called by SCE, the California Independent System Operator, or any successor system operator, including back-up generation used in connection with the dispatch of a load management program sponsored by the Commission, California Energy Commission, or California Independent System Operator, or any other successor operator.

This definition of DL specifically does not include: (1) a customer's load that moves to a new location outside SCE's service area as it existed on December 20, 1995; (2) a customer's load that is no longer served with electricity from any source; or (3) a new customer that, after January 1, 1998, locates new load in SCE's service territory, provided such customer does not purchase electricity from SCE and does not use SCE's transmission or distribution system (either directly or indirectly through a third party) in any manner to supply electricity to its load.

TERRITORY

Within the entire territory served.

RATES

The CGDL customer shall be billed an amount equal to the sum of the applicable components of the Cost Responsibility Surcharge (CRS) for the billing period calculated as described below. The components of the CRS include the Wildfire Fund Non-Bypassable (WFC) Charge, the ongoing Competition Transition Charge (CTC), and the Power Charge Indifference Adjustment (PCIA). The CRS shall be applicable to the kWhs served by Customer Generation subject to provisions of D.03-04-030. Certain exceptions from a portion or all of the CRS components, based on the type, size, and total amount of Customer Generation installed on or after February 1, 2001 within SCE's entire service territory are provided as set forth in the Special Conditions section, below. In addition to the charges described below, the nonbypassable NDC and PPPC of Schedule DL-NBC are also applicable to CGDL, except for exemptions provided for therein and in Net Energy Metering (NEM) tariffs. (T)

(Continued)

Schedule CGDL-CRS Sheet 3
CUSTOMER GENERATION DEPARTING LOAD COST RESPONSIBILITY SURCHARGE

RATES (Continued)

CRS Components and Calculation:

Wildfire Fund Non-Bypassable Charge (WFC): (T)

The WFC is calculated by multiplying the kWh for the billing period served by CG by the WFC Charge as shown in Schedule DA-CRS. Departing Load (DL) that began to receive service from CG on or before February 1, 2001, shall be exempt from the WFC except for any period the DL returned to Bundled Service, Direct Access, or CCA Service. See Special Condition 4 for CG load exemption for a Continuous DA Customer. (T)

Competition Transition Charge (CTC): The CTC is calculated by multiplying the kWh for the billing period by the average rate for the CTC as shown in Schedule DA-CRS. (T)

Power Charge Indifference Adjustment (PCIA): The PCIA reflects the departing customers' share of stranded generation costs as determined pursuant to the methodology adopted in D.06-07-030, as modified by D.11-12-018. The PCIA is determined residually by subtracting the authorized CTC component of CGDL-CRS from the indifference rate developed in accordance with the DA CRS Working Group report.

Pursuant to D.08-09-012 and Resolution E-4226, the PCIA applicable to non-exempt CGDL customers does not include the new generation non-bypassable charges authorized by D.04-12-048 and implemented as a component of the CRS. Pursuant to D.08-09-012, new generation includes generation from both fossil fueled and renewable resources contracted for or constructed by the investor owned utilities subsequent to January 1, 2003.

On July 1, 2006, the PCIA superseded and replaced the DWR Power Charge (DWRPC) such that after July 1, 2006, applicable customers no longer incur additional DWR Power Charges but instead incur PCIA charges. Pursuant to D.19-08-022, beginning October 1, 2019 and retroactive to January 1, 2017, the 2001 PCIA Vintage factors no longer include the above-market costs of legacy Utility Owned Generation (UOG). (N) (N) (T)

Fixed Recovery Charge (FRC): SCE has been permitted to issue bonds that enable it to recover more quickly certain costs related to preventing and mitigating catastrophic wildfires, while reducing the total cost to its customers. The FRC has been approved by the CPUC to repay those bonds. The right to recover the FRC has been transferred to a separate entity (called the Special Purpose Entity) that issued the bonds and recovery does not belong to SCE. SCE is collecting the FRC on behalf of the Special Purpose Entity. The FRC is calculated by multiplying the kWh for the billing period served by CG by the FRC as shown in Schedule DA-CRS. (N) (N)

(D)

(Continued)

Schedule CGDL-CRS Sheet 4
CUSTOMER GENERATION DEPARTING LOAD COST RESPONSIBILITY SURCHARGE

RATES (Continued)

Customer Generation Departing Load
Summary of Applicability and Exceptions

Customer Generation Departing Load Exemptions							
(Exemptions are cumulative for each applicable generation type)							
Item #	Generator Type	Generator Size	WFC Formerly DWR-Bond	PCIA-URG	PCIA-DWR	CTC	Statewide CAPs*
1	**if NEM Eligible (pursuant to PUC Sections 2827, 2827.8 and 2827.10) or served on NEM-STs (pursuant to D.16-01-044) or served on Schedule NBT**	≤ 1 MW for NEM Eligible systems No Constraint for NEM-ST Systems	Excepted	Excepted	Excepted	Excepted	**3000 MW**
2	**CSI / SGIP Eligible (only 1MW is exempt)**	≤ 5MW;Exempt up to 1MW	1MW Excepted	1MW Excepted	1MW Excepted	1MW Excepted	**3000 MW**
3	**Biogas Digester, (PUC 2827.9)**	>1MW, ≤ 10 MW	Exempt	Exempt	Exempt	Exempt	**3000 MW**
4	**Grndfath'd DL that became operl on or b4 1/1/03**	No Constraint	Applicable	Excepted	Excepted	Applicable	**None**
5	**Ultra-Clean & Low Emission (PUC 353.2)**	>1MW	Applicable	Excepted	Excepted	Applicable	**3000 MW**
6	**Meet BACT stds set by AQMD &/or CARB**	No Constraint	Applicable	Excepted	Excepted	Applicable	**1500 MW**
7	**DLthat began to recv svc from CG on/or b4 2/1/01**	No Constraint	Exempt	Exempt	Exempt	Applicable	**None**
8	**UC/CSU Sys ID'd in SectionV.B.4 of D.03-04-030**	No Constraint	Applicable	Excepted	Excepted	Applicable	**165 MW**
9	**CoGen PUC372 &/or374 &PrelmStmt PrtWSec4**	No Constraint	Applicable	Applicable	Applicable	Exempt	**3000 MW**
10	**Continuous DA = DA ≤ 2/1/01 thru > 9/20/01**	No Constraint	Exempt	Exempt	Exempt	Applicable	**None**
11	**New OrIncr'mtIDL-MstPassPhysTest,PrelStW4a**	No Constraint	Exempt	Exempt	Exempt	Exempt	
12	**DL Served by another entity who charges PPPC**	No Constraint			(Exemptions are cumulative for each appl gen type)	Applicable	

(T)
|
(T)

*The 3,000 MW cap was reached on February 12, 2015. Thus, as of this date, the exemptions or exceptions for certain CRS are no longer available for certain new CGDL. CGDL that was exempted or excepted before the cap was reached will continue to be exempted or excepted from certain CRS. See Special Condition 3 for details.

(Continued)

Schedule CGDL-CRS Sheet 5

CUSTOMER GENERATION DEPARTING LOAD COST RESPONSIBILITY SURCHARGE

SPECIAL CONDITIONS

1. Definitions: The capitalized terms in this Schedule are either defined herein, or in Rule 1, Definitions, Preliminary Statement, Part W, Section 1, Definitions, or in the Applicability section of Schedule DA-CRS.

2. Customer Generation: For the purpose of determining the applicability of the CRS to CGDL in accordance with Decision 03-04-030 effective April 3, 2003, Customer Generation (CG) refers to cogeneration, renewable technologies, or any type of generation that (1) is dedicated wholly or in part to serve a specific customer's load; and (2) relies on non-SCE or dedicated SCE distribution wires rather than SCE's grid to service the customer, the customer's affiliates, and/or tenants and/or not more than two other persons or corporations located on site or adjacent to the real property on which the generator is located. CG also includes the self generation, both on site and off site, of county and municipal water districts. Included in CG are the three groups of systems defined as: 1) CG systems with a capacity of less than 1 MW that are eligible for either net metering,[i] or for financial incentives from either the CPUC's Self-Generation Program or the California Energy Commission's (CEC) Program, 2) systems with a capacity of over 1 MW that also meet the criteria established in PU Code Section 353.2 known as "ultra-clean and low-emission distributed generation," and 3) all other types of customer generation systems that meet best available technology standard set by local air quality management districts and/or the California Air Resources Board as applicable. Customer Generation is also known as Distributed Generation, onsite and over-the-fence generation, or self generation.

[i] Systems served on the NEM Successor Tariffs pursuant to D.16-01-044 are also included in this category.

(Continued)

Schedule CGDL-CRS Sheet 6
CUSTOMER GENERATION DEPARTING LOAD COST RESPONSIBILITY SURCHARGE

SPECIAL CONDITIONS (Continued)

3. Exemptions and Exceptions from the CRS:

CGDL-CRS comprises several charges, all or some of which will apply to a customer. Which charges apply to each situation and which exemptions and exceptions apply are explained in the Special Conditions section below.

a. Explanation of Caps (T)

In D.03-04-040, the Commission resolved all issues leading to the provisions of the CGDL-CRS tariff. See the Decision for detailed discussion of each exemption and exception. The caps mentioned below are included and are fundamental to CGDL-CRS. (T)
The Department of Water Resources, in preparing to procure power for California in 2001 per AB1X, made a 10 year forecast in which they assumed, reasonably, that a certain amount of Customer Generation would exist, as it always has. DWR expected this amount to be 3,000 MW, and so did not make procurement arrangements for this amount. (T)
Thus, since nothing was procured, the load cannot be considered "Departing". The Commission adopted the 3,000 MW as the CGDL-CRS cap. In addition, to advantage renewable generation in making up the 3,000 MW, the Commission adopted 50 percent (%) off the 3,000 MW, or 1,500 MW as the specific cap for "clean" generation, and set limits per time period. (T)

On February 12, 2015, the California Energy Commission (CEC) determined that the 3,000 MW statewide cap was reached. Thus, as of this date, the exemptions or exceptions for certain CRS charges are no longer available for certain new CGDL. CGDL that were exempted or excepted before the cap was reached will continue to be exempted or excepted from certain CRS. (N) | | | (N) (D)

b. Expired Exemptions or Exceptions (T) |

(1) A CG system sized no greater than 5 MW that was eligible for (1) the CPUC's Self Generation Program or (2) the CPUC's California Solar Initiative Program or (3) received financial incentives from the California Energy Commission's (CEC) program, was provided with the CRS exception only on the departing load resulting from the first 1 MW, and was included in the count towards the 3,000 MW cap. This exception has expired as of February 12, 2015 due to having reached the 3,000 MW cap. (T) | | | | | (N) (N)

(2) DL served by Biogas Digester CG, as defined in PU Code Section 2827.9, was exempted from all components of the CRS and applied towards the 3,000 MW Cap. This exception expired on December 31, 2009 pursuant to PU Code Section 2827.9.[1/] (T) (T) (N) (N)

(3) DL served by a CG system over 1 MW in size that met PU Code Section 353.2 requirements for ultra-clean and low-emission CG was excepted from PCIA. and was included in the count towards the 3,000 MW cap. This exception has expired as of December 31, 2008 pursuant to PU Code Section 353.2.[2/] (T) (T) (N) (N) (L)

1/ PU Code Section 2827.9 was subsequently repealed effective January 1, 2012 by Senate Bill 489 (Wolk, 2011). (N) |

2/ PU Code section 353.2 required that the CG be operational on or before December 31, 2008 (N)

(Continued)

Schedule CGDL-CRS Sheet 7
CUSTOMER GENERATION DEPARTING LOAD COST RESPONSIBILITY SURCHARGE

SPECIAL CONDITIONS (Continued)

3. Exemptions and Exceptions from the CRS: (Continued)

b. Expired Exemptions or Exceptions (Continued)

(4) DL served by CG, other than that described in Special Condition 3.b.(1) through 3.b.(3), that met the best available Control technology standards set by local air quality management districts and/or the California Air Resources Board, as applicable, was excepted from the PCIA. This exception expired for new DL served by CG installed after the total CGDL for utilities under the jurisdiction of the CPUC exceeded 1,500 MW (the 1,500 MW portion of the 3,000 MW Cap is referenced in Special Condition 3.a. above, and in D. 03-04-040 at page 54) and was included in the count towards the 3,000 MW cap.

(5) The UC/CSU Systems identified in Section V.B.4 of D.03-04-030 were granted specific allocations (set-asides) within the 3,000 MW Cap. The exception from the PCIA expired for new installations once the Caps was reached, including the 3,000 MW Cap.

c. Applicable Exemptions or Exceptions

(1) The DL of a Net Billing Tariff (NBT) or a Net Energy Metering (NEM) customer system that is served pursuant to the provisions of Public Utilities Code Section 2827, 2827.8 or 2827.10 continue to be excepted from all components of the CRS. The excepted DL counted towards the 3,000 MW cap. The DL of a NBT or NEM Successor Tariff customer system that is served pursuant to the provisions of D.16-01-044 is excepted from all components of the CRS. (T) (T)

(2) Grandfathered DL that became operational on or before January 1, 2003 or that submitted its CEQA application on or before August 29, 2001 and became operational on or before January 1, 2004 shall be excepted from the PCIA. DL under this provision did not count towards the 3,000 MW Cap.

(3) DL that began to receive service from CG on or before February 1, 2001 shall be exempt from all DWR Bond Charges, and the PCIA except for any period the DL returned to Bundled Service, Direct Access, or CCA Service and did not count towards the Caps identified in 4.d. and 4.i.

(4) DL of a qualified cogeneration is exempt from the CTC pursuant to PU Code Sections 372 and /or 374 and the provisions of Preliminary Statement, Part W, Section 4. The exempted DL counted towards the 3,000 MW cap.

(Continued)

Schedule CGDL-CRS Sheet 8
CUSTOMER GENERATING DEPARTING LOAD COST RESPONSIBILITY SURCHARGE

SPECIAL CONDITIONS (Continued)

3. Exemptions and Exceptions from the CRS: (Continued)

c. Applicable Exemptions or Exceptions (Continued)

(5) CGDL load of a Continuous DA Customer as defined in the Applicability section of Schedule DA-CRS retains its exemption from the WFC and the PCIA and does not count towards the 3,000 MW cap. (T)

(6) DL that is new or incremental CG load that can pass the physical test (of ability to isolate from the SCE system, and not require connection to the SCE system for startup) adopted in D.98-12-067, which is described in Preliminary Statement, Part W, Section 4a., is exempt from all components of the CRS. The exempted DL did not count towards the 3,000 MW cap.

(7) The UC/CSU systems identified in Section V.B.4 of D.03-04-030 were granted specific allocations (set-asides) within the 3,000 MW Cap. While the 3,000 MW cap was met on February 12, 2015, qualifying UC/CSU systems installed after February 12, 2015 will be excepted from the PCIA until the earlier of December 31, 2020 or the date on which the UC/CSU have collectively installed 20 MW of additional qualifying CG in SCE's service territory, after which the PCIA exception will no longer be available for new UC/CSU systems. UC/CSU systems excepted from the PCIA under the specific allocation before and after February 12, 2015 will continue to be excepted from the PCIA.

4. Bill Calculation: The DL Customer's WFC, FRC, the CTC, the PCIA, and the UC obligations not subject to Special Condition 3 Exemptions and Exceptions from CRS will be based on metered consumption. Third party metering will be allowed subject to verification procedures sufficient to assure reliability of such consumption data and/or information. Meter reliability is pursuant to SCE's Rule 17 and the Direct Access Standards for Metering and Meter Data ("DASMMD"). Each party will be responsible for its own costs associated with the agreed upon verification process. (T)

If metered consumption is not available then the Departing Load customer's monthly consumption estimation will be based upon the customer's historical load at the time it discontinues or reduces retail service with SCE, using one of the two following options:

a. The customer's demand and energy usage over the 12 month period prior to the customer's submission of notice; or

(Continued)

Schedule CGDL-CRS Sheet 9 (T)

CUSTOMER GENERATING DEPARTING LOAD COST RESPONSIBILITY SURCHARGE

SPECIAL CONDITIONS (Continued)

4. Bill Calculation: (Continued)

b. The customer's average 12 month demand and energy usage, with such average to be as measured over the prior 36 months of usage; or

In the event the 12-month average usage differs from the 36-month average by an amount greater than 25 percent, the 36-month average will be used unless there is substantial evidence to demonstrate that the more recent usage is the result of a persisting change in the customer's electric usage, and that the 12-month average will be more indicative of the customer's future electric requirements.

If the customer does not indicate its option in its notice, the default method will be the customer's demand and energy usage over the 12 month period prior to the customer's submission of notice.

In circumstances where the Departing Load has been reduced following departure from SCE due to use of energy efficiency equipment or for other reasons, the customer and SCE may agree in writing to use metered or other data on a prospective basis to verify such load reduction for the Departing Load. If a metering agreement is reached, SCE will adjust the calculation of Departing Load payments.

If the customer has switched between applicable rate schedules or service voltage during the 36 month period prior to the Date of Departure, the Departing Load Statement will be based on the customer's final applicable rate schedule and service voltage. Where a customer provides reliable third party metered consumption data, the rate schedules used for Departing Load purposes shall be consistent with that metered information.

5. CCA Service: Customers with CGDL who were CCA Service Customers at the time of departure shall be treated, for purposes of this Schedule, (a) as a Direct Access Customer at the time of departure if the CCA Service Customer previously switched from Direct Access to CCA Service, or (b) in all other cases, as a Bundled Service Customer at the time of departure.